



9 October 2023

Circular Number 29 of 2023

To: Insurance Companies
Brokers
Reinsurers
Pension Funds
Pensions Fund Administrators

Cc: Life Offices Association (LOA)
Insurance Council of Zimbabwe (ICZ)
Zimbabwe Association of Reinsurance Organisations (ZARO)
Zimbabwe Association of Pension Funds (ZAPF)
Zimbabwe Association of Funeral Assurers (ZAFA)
Insurance Brokers Association of Zimbabwe (IBAZ)

FINANCIAL INTELLIGENCE UNIT DIRECTIVE ON HIGH-RISK JURISDICTIONS AND COUNTRIES UNDER INCREASED MONITORING FOR TERRORIST FINANCING AND PROLIFERATION FINANCING OF WEAPONS OF MASS DESTRUCTION - PFIU26/09/2023

1. In terms of section 26A of the Money Laundering and Proceeds of Crime Act Chapter (9:24), financial institutions are required to exercise enhanced due diligence proportionate to their risk, towards business relationships with natural and legal persons, including financial institutions, from countries for which this is called for by the Financial Action Task Force. This is advised through a directive or circular issued by the Financial Intelligence Unit (FIU) from time to time.
2. Pursuant to the above, the FIU has issued a Directive to all Financial Institutions and Designated Non-Financial Businesses and Professions, on **'High-Risk Jurisdictions and Countries Under Increased Monitoring for Terrorist Financing and Proliferation Financing of Weapons of Mass Destruction (PFIU26/09/2023)'** appended to this Circular.
3. All insurance and pensions industry players are therefore required to apply appropriate measures towards business relationships and transactions with

persons from the jurisdictions listed, commensurate to money laundering, terrorist financing and proliferation financing risks they are exposed to.

4. Kindly acknowledge receipt of this Directive at actuarial@ipec.co.zw no later than 17 October 2023.
5. Be guided accordingly.

Yours sincerely,



Grace Muradzikwa

COMMISSIONER OF INSURANCE, PENSION AND PROVIDENT FUNDS



26 September 2023

To: Financial Institutions and Designated Non-Financial Businesses & Professions

Issued in terms of Section 26A of The Money Laundering and Proceeds of Crime Act (Chapter 9:24)

High Risk Jurisdictions and Countries Under Increased Monitoring for Terrorist Financing and Proliferation Financing of Weapons of Mass Destruction

The Financial Action Task Force (FATF) from time to time publishes lists of jurisdictions with high risk of money laundering, terrorist financing and proliferation financing of weapons of mass destruction and those countries that require increased monitoring for having strategic deficiencies in their regimes to counter money laundering, terrorist financing, and proliferation financing.

FATF requires financial institutions (FIs) and designated financial business and professions (DNFBPs) to apply different measures to business relationships and transactions with customers from countries on the different lists, in line with the money laundering, terrorist financing and proliferation financing (ML/TF/PF) risks that they are exposed to. This is meant to protect the international financial system from ongoing money laundering, terrorist financing, proliferation financing risks.

(i) Jurisdictions under increased monitoring (grey list):

Jurisdictions under increased monitoring are jurisdictions with strategic AML/CFT deficiencies and are actively working with the FATF to address these deficiencies in their regimes to counter money laundering, terrorist financing, and proliferation financing. For jurisdiction under the grey list, FIs

and DNFBPs are called upon to apply a risk-based approach when dealing with customers from such countries. Application of enhanced due diligence measures and de-risking or cutting-off the entire class of customers from grey listed jurisdictions is not mandatory, instead, financial institutions should consider the risk emanating from such relationships and put in place measures commensurate to the risk identified.¹

The following are some measures that FIs and DNFBPs may apply when dealing with jurisdictions under the grey list:

- a) Updating institutional risk assessments to suite country risk profiles.
- b) Application of on-going due diligence requirements for businesses, when conducting transactions with grey listed jurisdictions;
- c) Identifying existing customers with ties to grey listed jurisdictions including requesting for declaration of source of funds and/or wealth of the customer, as well as associated parties, including analysing incoming and outgoing funds from such jurisdictions;
- d) Implementing an effective adverse media screening solution to detect stories that involve high risk customers from grey listed countries;
- e) Consider reviewing any contracts with grey listed jurisdictions third parties to ensure that they include appropriate AML/CFT clauses, such as warranties and representations regarding compliance with AML/CFT laws;
- f) Putting businesses with connections to grey listed jurisdictions under more regulatory scrutiny, as regulators may expect them to implement more stringent AML/CFT compliance measures to mitigate the risks associated with grey listing.

(ii) High-risk jurisdictions subject to a call for action (black list):

Countries that are identified by FATF as high-risk jurisdictions have significant strategic deficiencies in their regimes to counter money laundering, terrorist financing, and financing of proliferation and have failed to address these deficiencies within specified timelines. For all countries identified as high-risk (blacklisted), FATF calls on all member countries and their FIs and DNFBPs to apply enhanced due diligence, and, in more serious cases, apply countermeasures to protect the international financial system

¹ <https://www.fatf-gafi.org/en/publications/High-risk-and-other-monitored-jurisdictions/Increased-monitoring-june2023.html>

from the money laundering, terrorist financing, and proliferation financing (ML/TF/PF) risks emanating from such jurisdictions.²

Some of the counter measures to deal with blacklisted jurisdictions that FIs and DNFBPs may apply include the following:

- a) give special attention to business relationships and transactions with black list jurisdictions;
- b) If necessary, close existing branches, subsidiaries and representative offices in blacklist countries and terminate correspondent relationships;
- c) require increased supervisory examination for branches and subsidiaries of financial institutions based in black listed jurisdictions;
- d) introduce enhanced relevant reporting mechanisms or systematic reporting of financial transactions;
- e) require increased external audit requirements for financial groups with respect to any of their branches and subsidiaries located within a country on the black list;
- f) undertake more enhanced monitoring by closely monitoring 'red flag' indicators of any criminal activity.

In all scenarios, the type of measures and countermeasures to be applied should be effective and proportionate to the risks. Tabulated below is the combined list of FATF grey and blacklisted countries as of 23 June 2023.

Table 1: Combined list of grey and black listed countries as of 23 June 2023

Jurisdictions under increased monitoring (grey list)			
1	Albania	14	Nigeria
2	Barbados	15	Panama
3	Burkina Faso	16	Philippines
4	Cameroon	17	Senegal
5	Cayman Islands	18	South Africa
6	Croatia	19	South Sudan
7	Democratic Republic of the Congo	20	Syria
8	Gibraltar	21	Tanzania
9	Haiti	22	Turkey
10	Jamaica	23	Uganda
11	Jordan	24	United Arab Emirates
12	Mali	25	Vietnam
13	Mozambique	26	Yemen

² <https://www.fatf-gafi.org/en/publications/High-risk-and-other-monitored-jurisdictions/Call-for-action-June-2023.html>

	High-risk jurisdictions subject to a call for action (blacklist)
1	Democratic People's Republic of Korea (DPRK)
2	Iran
3	Myanmar

In line with the provisions of section 26A of the Money Laundering and Proceeds of Crime Act, financial institutions and designated non-financial businesses and professions are required to apply relevant measures, as discussed, commensurate with the prevailing risk towards business relationships and transactions with persons from the listed jurisdictions above.

FIs and DNFBPs should note that the lists are subject to change, therefore institutions are required to conduct ongoing proactive research on the grey and black lists, which are published on the FATF website (<https://www.fatf-gafi.org/en/home.html>).

Please be guided accordingly.



O. Chiperesa
Director General
Financial Intelligence Unit

